INTEGRATED FINANCIAL RATIO ANALYSIS

Learning Outcome

- describe relationships among ratios and evaluate a company using ratio analysis

In prior lessons, the text presented separately activity, liquidity, solvency, and profitability ratios. Before discussing valuation ratios, this lesson demonstrates the importance of examining a variety of financial ratios—not a single ratio or category of ratios in isolation—to ascertain the overall position and performance of a company. Experience shows that the information from one ratio category can be helpful in answering questions raised by another category and that the most accurate overall picture comes from integrating information from all sources.

The Overall Ratio Picture: Examples

We present two simple examples to introduce the use of a variety of ratios to address an analytical task. Example 13 shows how the analysis of a pair of activity ratios resolves an issue concerning a company's liquidity. Example 14 shows that examining the overall ratios of multiple companies can assist an analyst in drawing conclusions about their relative performances.

EXAMPLE 13

A Variety of Ratios

An analyst is evaluating the liquidity of a Canadian manufacturing company and obtains the liquidity ratios shown in Exhibit 29:

Exhibit 29: Liquidity Ratios

Fiscal Year	10	9	8
Current ratio	2.1	1.9	1.6
Quick ratio	0.8	0.9	1.0

The ratios present a contradictory picture of the company's liquidity. Based on the increase in its current ratio from 1.6 to 2.1, the company appears to have strong and improving liquidity; however, based on the decline of the quick ratio from 1.0 to 0.8, its liquidity appears to be deteriorating. Because both ratios have exactly the same denominator, current liabilities, the difference must be the result of changes in some asset that is included in the current ratio but not in the quick ratio (e.g., inventories). The analyst collects the activity ratios in Exhibit 30:

Exhibit 30: Activity Ratios

DOH	55	45	30
DSO	24	28	30

The company's DOH has deteriorated from 30 days to 55 days, meaning that the company is holding increasingly larger amounts of inventory relative to sales. The decrease in DSO implies that the company is collecting receivables faster. If the proceeds from these collections were held as cash, there would be no effect on either

ratios suggest that liquidity is declining and that the company may have an inventory problem that needs to be addressed.

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EXAMPLE 14

A Comparison of Two Companies (1)

An analyst collects the information in Exhibit 31 for two hypothetical companies.

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Exhibit 31: Company Comparison

	Fiscal Year			
Anson Industries	**5**	**4**	**3**	**2**
Inventory turnover	76.69	89.09	147.82	187.64
DOH	4.76	4.10	2.47	1.95
Receivables turnover	10.75	9.33	11.14	7.56
DSO	33.95	39.13	32.77	48.29
Accounts payable turnover	4.62	4.36	4.84	4.22
Days payable	78.97	83.77	75.49	86.56
Cash from operations/Total liabilities	31.41%	11.15%	4.04%	8.81%
ROE	5.92%	1.66%	1.62%	–0.62%
ROA	3.70%	1.05%	1.05%	–0.39%
Net profit margin (Net income/Revenue)	3.33%	1.11%	1.13%	–0.47%
Total asset turnover (Revenue/Average assets)	1.11	0.95	0.93	0.84
Leverage (Average assets/Average equity)	1.60	1.58	1.54	1.60
	Fiscal Year			
Clarence Corporation	**5**	**4**	**3**	**2**
Inventory turnover	9.19	9.08	7.52	14.84
DOH	39.73	40.20	48.51	24.59
Receivables turnover	8.35	7.01	6.09	5.16
DSO	43.73	52.03	59.92	70.79
Accounts payable turnover	6.47	6.61	7.66	6.52
Days payable	56.44	55.22	47.64	56.00
Cash from operations/Total liabilities	13.19%	16.39%	15.80%	11.79%
ROE	9.28%	6.82%	–3.63%	–6.75%
ROA	4.64%	3.48%	–1.76%	–3.23%
Net profit margin (Net income/Revenue)	4.38%	3.48%	–1.60%	–2.34%
Total asset turnover (Revenue/Average assets)	1.06	1.00	1.10	1.38
Leverage (Average assets/Average equity)	2.00	1.96	2.06	2.09

Note: Ratios are expressed in terms of two decimal places and are rounded. Therefore, expected relationships may not hold perfectly.

1. Which of the following choices best describes reasonable conclusions an analyst might make about the companies' efficiency?

   A. In FY5, Anson's DOH of only 4.76 indicated that it was less efficient at inventory management than Clarence, which had DOH of 39.73.
   B. Over the past four years, Anson has shown greater improvement in efficiency than Clarence, as indicated by its total asset turnover ratio increasing from 0.84 to 1.11.
   C. In FY5, Clarence's receivables turnover of 8.35 times indicated that it was more efficient at receivables management than Anson, which had receivables turnover of 10.75.

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in efficiency than Clarence, as indicated by its total asset turnover ratio increasing from 0.84 to 1.11. Over the same period of time, Clarence's total asset turnover ratio has declined from 1.38 to 1.06. Choices A and C are incorrect because DOH and receivables turnover are misinterpreted.

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